

Discounted Cash Flow (DCF) Valuation Findings

The purpose of the DCF analysis was to estimate Intel's intrinsic value under a range of potential operating outcomes and determine whether the company's recent share price appreciation is supported by reasonable assumptions regarding future growth, profitability, and cash flow generation. Building upon the findings from the financial and segment analyses, as well as the peer analyses, the valuation focused primarily on the variables most likely to influence Intel's long-term value: revenue growth, operating margin recovery, capital intensity, and the success of Intel Foundry.

DCF Assumption Rationale

The assumptions used in the DCF model were intentionally grounded in the findings from the financial, segment, and peer analyses rather than being based on Intel's historical peak performance. While the company generated significantly higher revenue and profitability during prior cycles, the objective of the valuation was to estimate what appears achievable given Intel's current operating position, competitive landscape, and execution risks.

Revenue growth assumptions were selected to reflect the stabilization observed in Intel's recent financial results. Following the sharp revenue decline experienced between 2022 and 2024, the company has begun to show signs of stabilization. However, there is currently limited evidence supporting a return to the rapid growth rates achieved during earlier periods. Although AI-related demand and Foundry expansion could provide future growth opportunities, these initiatives have yet to demonstrate sustained financial success. Consequently, the base case assumes revenue growth gradually moderates from 5.0% to 3.5% through 2030. On the other hand the bull case assumes stronger growth ranging from 8.0% to 5.0%, reflecting a more successful execution of Intel's strategic initiatives.

Similarly, operating margin assumptions were derived directly from the segment analysis. The financial review identified Intel Foundry as the primary source of margin pressure and profitability weakness. While a successful Foundry turnaround could materially improve margins over time, the timing and magnitude of that recovery remain uncertain. As a result, the Base Case assumes operating margins recover from current depressed levels to 20% by 2030, representing substantial improvement while remaining below Intel's historical peak profitability. The Bull Case assumes operating margins recover to 27% by 2030, approaching historical levels and reflecting a significantly more successful turnaround scenario.

Importantly, additional testing demonstrated that even increasing the Base Case 2030 operating margin assumption to 35% resulted in an implied share price of approximately \$54 per share, which remained well below the current market price. This finding suggests that the market's valuation is not simply dependent on margin normalization but likely reflects expectations for stronger revenue growth, improved Foundry economics, lower long-term capital intensity, and substantial free cash flow generation beyond the explicit forecast period.

For these reasons, the assumptions used in the DCF were intentionally designed to balance optimism regarding Intel's turnaround potential with the operational and execution risks identified throughout the analysis. Rather than assuming a return to historical peak performance, the model reflects what appears achievable based on currently available evidence.

Valuation Results

Three scenarios were developed to capture a range of possible outcomes. The Bear Case assumes limited revenue growth, continued Foundry challenges, and only modest profitability improvement. The Base Case assumes gradual revenue growth, improving Foundry economics, and operating margin expansion to 20% by 2030. The Bull Case assumes a significantly more successful turnaround characterized by stronger revenue growth, substantial operating leverage, and operating margins recovering to 27% by 2030.

The resulting valuations produced implied share prices of approximately \$11 per share in the Bear Case, \$26 per share in the Base Case, and \$70 per share in the Bull Case. Applying probability weightings of 30%, 50%, and 20%, respectively, resulted in a probability-weighted intrinsic value of approximately \$31 per share.

Notably, all three scenarios produced valuations below Intel's current market price. Even under the Bull Case, which assumes meaningful margin expansion and a successful turnaround, the implied valuation remained below the prevailing share price. This suggests that investors are currently pricing in a more optimistic outcome than reflected in our assumptions.

Key Findings and Investment Implications

These conclusions are highly consistent with the findings from both the financial and peer analyses. The financial analysis revealed that Intel's profitability challenges are not primarily driven by declining demand or excessive SG&A spending, but rather by the significant losses generated within Intel Foundry. Segment analysis showed that the company's core businesses remain profitable and relatively stable, while Foundry continues to represent the largest source of margin pressure. The peer analysis reinforced these findings by demonstrating that Intel currently operates with significantly lower gross margins, operating margins, and free cash flow margins than Nvidia, AMD, and TSMC.

Perhaps the most revealing observation from the peer analysis was Intel's forward P/E ratio of approximately 117.3x. Despite generating the weakest profitability profile within the peer group, Intel trades at a substantially higher earnings multiple than many of its competitors. This suggests that investors are valuing Intel based primarily on expectations of future earnings recovery rather than current earnings power. In other words, the market appears to be assigning significant value to the possibility that management successfully executes its turnaround strategy and restores profitability over time.

Taken together; the financial analysis, peer analysis, and DCF valuation all point toward the same central investment debate. The financial analysis identified Intel Foundry as the primary source of margin pressure and profitability weakness. The peer analysis showed that Intel remains materially less profitable than its competitors despite a valuation that reflects substantial future improvement. The DCF analysis demonstrated that even significant margin recovery struggles to fully justify the current share price under reasonable assumptions.

However, it is important to recognize the potential upside embedded in a successful Foundry strategy. If Intel can attract meaningful third-party manufacturing customers, improve factory utilization rates, benefit from increasing AI-related demand, and ultimately restore profitability toward historical levels, the company's earnings power could exceed the assumptions used in this analysis. Consequently, the primary disagreement between this valuation and the market's valuation appears to center not on Intel's current business performance, but on the magnitude and timing of future Foundry profitability and margin recovery.

Therefore, the investment thesis ultimately depends on a single question: can Intel successfully transform Foundry from a major source of losses into a profitable manufacturing platform capable of generating attractive long-term returns?

The gap between the DCF valuation and the current market price does not necessarily imply that the market is irrational. Rather, it suggests that investors are underwriting a significantly more optimistic outcome than reflected in our assumptions. The market appears to be anticipating a highly successful turnaround characterized by stronger growth, substantial margin expansion, and a return toward historical profitability levels. While such an outcome remains possible, it requires a level of execution that has yet to be demonstrated. As a result, Intel's valuation appears increasingly dependent on future operational success rather than current financial performance, leaving limited room for execution missteps and making Foundry's long-term profitability the most important variable in the investment thesis.